

Multiple Choice (10 marks)

1. If the market price is above the perfectly competitive firm's average total cost curve, we expect that in the long run,
 - (a) the industry contracts as firms exit the market.
 - (b) the industry expands as firms exit the market.
 - (c) the industry contracts as firms enter the market.
 - (d) the industry expands as firms enter the market.
2. Stagflation occurs when
 - (a) inflation falls and unemployment rises.
 - (b) inflation rises and unemployment falls.
 - (c) inflation and unemployment both rise.
 - (d) Inflation and output both rise.
3. The law of increasing costs is useful in describing
 - (a) a demand curve.
 - (b) a marginal benefit curve.
 - (c) a linear production possibility frontier.
 - (d) a concave production possibility frontier.
4. With the presence of a positive externality, which of the following would correct the externality?
 - (a) A government subsidy.
 - (b) A government tax.
 - (c) A higher price.
 - (d) A lower level of output.
5. Economics is a social science that
 - (a) is primarily concerned with money.
 - (b) is primarily concerned with how resources are used.
 - (c) relies solely on the scientific method for analysis.
 - (d) is primarily concerned with maximizing spiritual well-being.

True / False (10 marks)

Answer True or False

6. True or False: A visit to the orthodontist is an example of a public good because it is accessible to everyone at no charge.
7. True or False: Spending \$50.00 at a restaurant is classified under consumer spending when calculating GDP.
8. True or False: A budget deficit occurs when government spending exceeds tax collections for a specific period.
9. True or False: When both expansionary fiscal and monetary policies are used, interest rates tend to remain relatively constant.
10. True or False: In an oligopoly, price is equal to marginal revenue for all firms within the market.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the concept of a price ceiling in economics. Explain its implications when set below the equilibrium price and analyze how it affects supply and demand in the market.
12. Discuss the implications of an increase in the money supply on the money market, focusing on how it affects nominal interest rates and the overall economy.

End of Paper